Second, the World Bank estimates that by 2030, half the total world capital stock of about $158 trillion (in 2010 dollars) embodied in investments in factories, equipment, and infrastructure will belong to developing countries, while their share in global aggregate investment activity is projected to triple to three-fifths, from one-fifth in 2000. Of this amount, China is projected to account for 30 percent of global investment, while estimates for Brazil, India, and Russia combined amount to an additional 13 percent.[79] Since that initial estimate, China further expanded its outward investment activity through "One Belt, One Road" (OBOR) and other initiatives, growing 19 percent per year on average between 2009 and 2014.[80] The stated goal of OBOR is to reach $4 trillion in financed projects, well above the existing projects worth $230 billion.[81]

Some observers see China as being poised to become the world's largest net creditor as China's cumulative surpluses (measured as its net international investment position) amounted to $1 trillion in 2011–2015, larger than Japan's $200 billion.[82] The opportunities for China's leadership in national and collective financial statecraft that emerge from its (and other BRICS members') creditor status are numerous, ranging from supporting club initiatives such as the New Development Bank (NDB) in development and infrastructure financing, and the Contingent Reserve Arrangement (CRA), which may operate similarly to the IMF (or *de facto* to the U.S. Federal Reserve) by providing crisis liquidity (see Chapter 3). In turn, creditors expect greater formal and informal influence in existing global governance arrangements, as China and the BRICS have sought in the Bretton Woods institutions. Similarly, China can gain potential leverage over debtors such as the United States if it is prepared to pay high costs to achieve its objectives (see Chapter 4).

Third, recognizing the gap in innovative capacity, the Chinese government has embarked on several initiatives to make indigenous innovation in products and processes a new driver for productivity and growth, particularly in research and development (R&D), where weak intellectual property protection is an obstacle. To this end, China's share of global manufacturing value-added more than tripled, from 8 to 25 percent between 2004 and 2014.[83] According to McKinsey and other assessments, China is increasingly competitive in more sophisticated, knowledge-intensive sectors such as solar panels (with 51 percent of global revenue in this sector), construction machinery (19 percent), and electrical equipment (16 percent), as well as in high-speed rail, where China now has 41 percent of the global market.[84]

China's success as a global manufacturing leader stems in part from its vast ecosystem of suppliers, workers, service companies, and logistics providers. In some areas, Chinese innovators can leverage supply chain partners in the Chinese industrial ecosystem to become the global market leader, such as in small civilian drones, where a Chinese firm now dominates about 70 percent of the market.[85] By comparison, China has had only mixed success in engineering-based and science-based innovation, reflected in the fact that only 5 percent of China's large R&D spending is devoted to basic research. Thus, Chinese filing of triadic patents in 2012, an indication of high patent quality, was only one-tenth the number of U.S. and Japanese companies' filings.[86] However, one offset economic strategy, where other BRICS lag far behind, is China's "going global" push in R&D, where it was the largest investor in global greenfield foreign direct investment (FDI) in the first half of 2016 and third overall in outbound FDI, behind only the United States and Germany.[87] Such investments parallel China's OBOR initiative, serving both domestic economic restructuring and global geoeconomic engagement.

One area where all the BRICs are storming ahead is in reaping the benefits from their industrial tycoons who preside over large, private-sector companies that are integrated into the global economy. According to a new study by Caroline Freund, their extreme wealth and large-scale entrepreneurship correlate positively with economic modernization when it is associated with the creation of large, global, fast-growing firms like China's Alibaba and Foxconn, Brazil's WEG, and India's Bharat Forge. Such megafirms and their founders have been a source of growth and structural transformation for the BRICs. Combined, they contributed 30 percent of the new fortunes, 40 percent of real global growth (in PPP), and an even larger share of the new *Fortune 500* companies between 1996 and 2014.[88] By 2025, emerging economies are expected to account for 45 percent of *Fortune 500* firms and 50 percent of the world's billionaires; China, and to a lesser extent India, lead the emerging economies in the share of these large firms.[89]

However, one legitimately may wonder whether China can rival the United States in innovative capacity and dominance in global corporations. According to Sean Starrs' rigorous 2013 analysis, American corporations still dominate most sectors, and in advanced sectors, such as aerospace, software, and financial services, U.S. dominance has increased since 2008.[90] Only three sectors show both relative American decline and Chinese ascendance: banking, construction, and telecommunications. Moreover, U.S. firms own 46 percent of the world's top 500 corporations, 13 percent of which are domiciled outside the United States. Similarly, thirty-four of the top fifty "Most Innovative Companies," including the top five, in Boston Consulting Group's (BCG) 2016 survey are